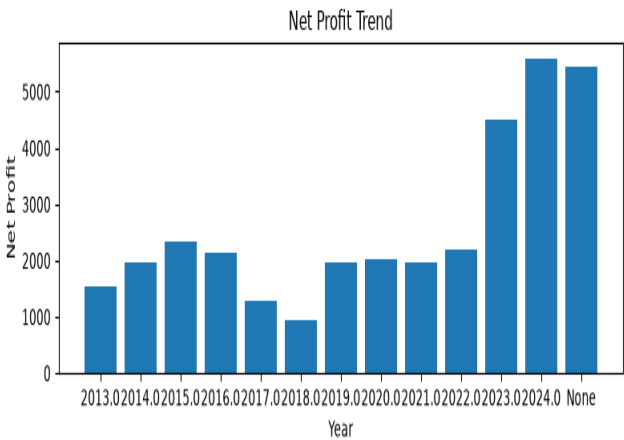
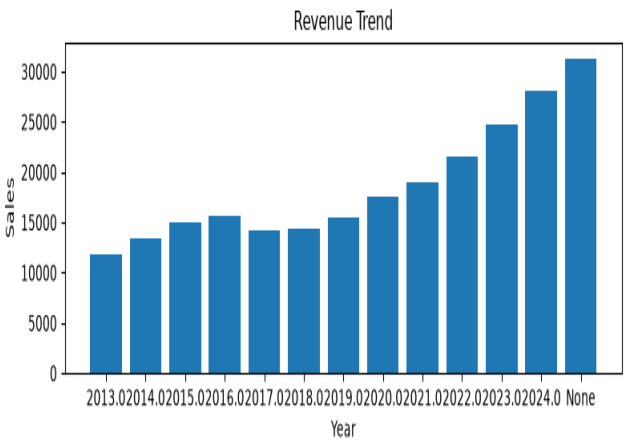


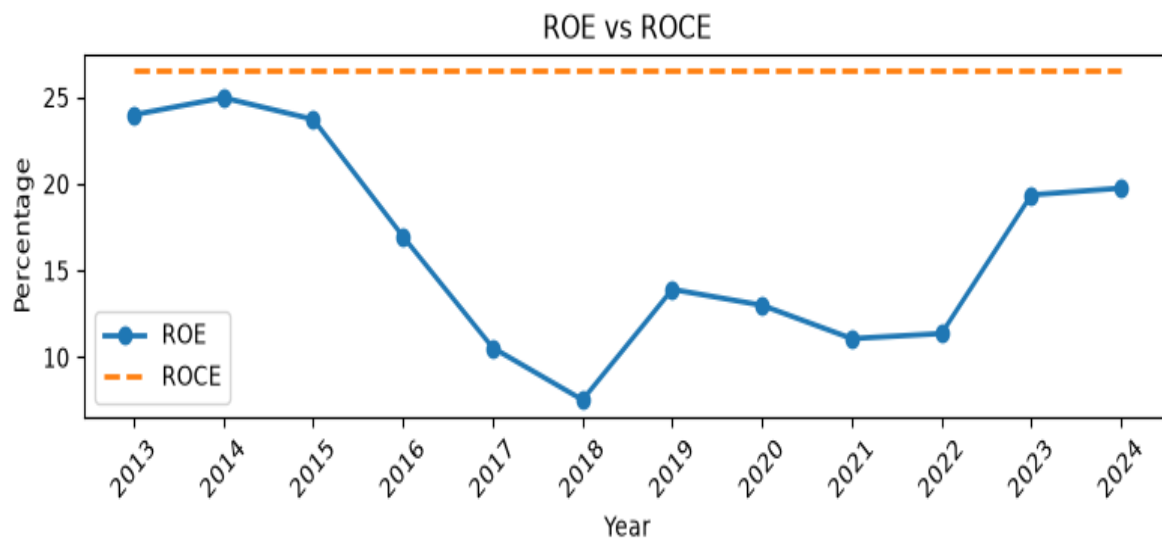
# Dr Reddys Laboratories Ltd

## Investment Summary

|                    |            |
|--------------------|------------|
| Overall Rating     | ★          |
| Quality Score      | 27/100     |
| Financial Health   | Excellent  |
| Capital Allocation | Reinvestor |
| Recommendation     | AVOID      |

## 10 Year Financial Trends





## Capital Allocation Pattern

### Reinvestor

|      |        |
|------|--------|
| ROE  | 19.74% |
| ROCE | 26.50% |
| NPM  | 19.91% |
| OPM  | 28.32% |
| D/E  | 0.07   |
| EPS  | 67.00  |

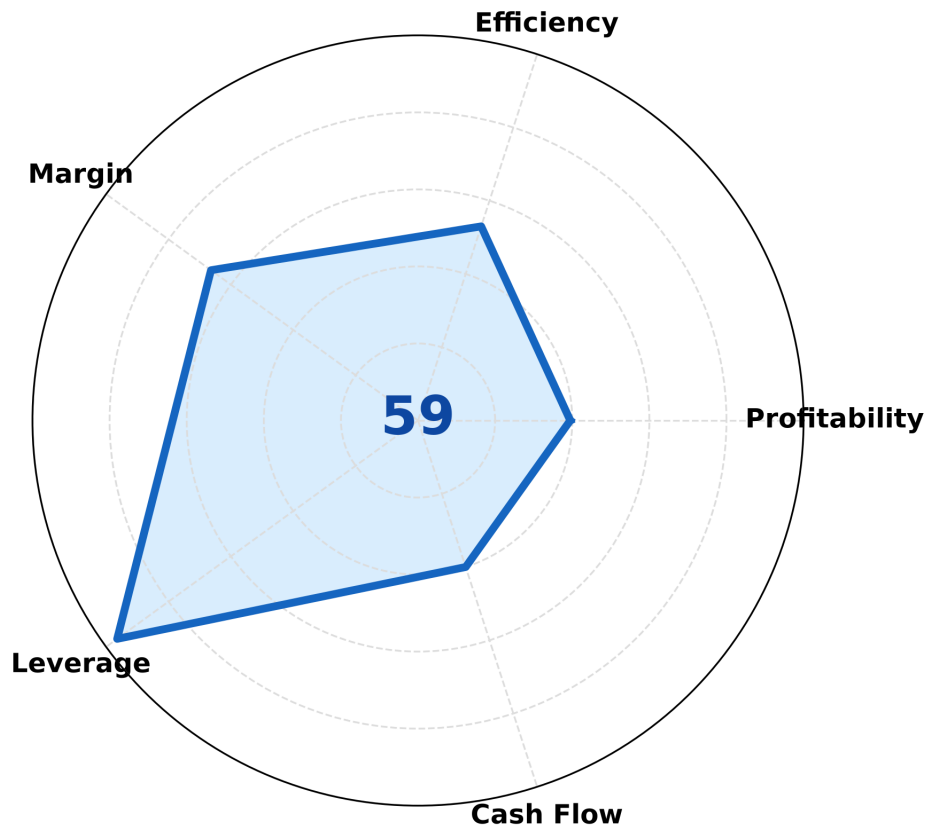
## Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Return on equity improving for 3 consecutive years shows strengthening business quality.

## Cons

✓ No major weaknesses identified based on current financial metrics.

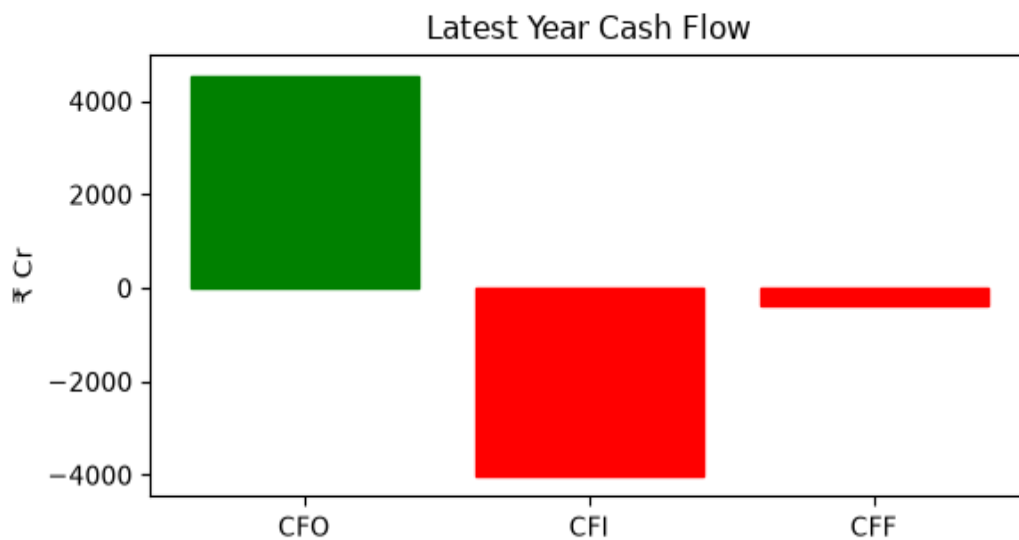
## Financial Strength Radar



## Peer Comparison

| Rank | Company                            | ROCE   | ROE    | NPM    | D/E  |
|------|------------------------------------|--------|--------|--------|------|
| 1    | Dr Reddys Laboratories Ltd         | 26.50% | 21.40% | 19.91% | 0.07 |
| 2    | Torrent Pharmaceuticals Ltd        | 23.20% | 24.20% | 15.44% | 0.59 |
| 3    | Cipla Ltd                          | 22.80% | 16.80% | 16.12% | 0.02 |
| 4    | Sun Pharmaceuticals Industries Ltd | 17.30% | 16.70% | 19.82% | 0.05 |
| 5    | Divis Laboratories Ltd             | 16.50% | 12.20% | 20.40% | 0.00 |

## Cash Flow Analysis



# Stock Price Performance



# Valuation Dashboard

|                |                |
|----------------|----------------|
| Market Cap     | ■ 2,441,803 Cr |
| PE Ratio       | 11.73          |
| PB Ratio       | 10.19          |
| Dividend Yield | 0.09%          |
| Valuation      | Undervalued    |